Advisory Memo: Nawy

Track 01: Back-of-the-Envelope Startup Analysis

1. Executive Summary

What the company does:

At first glance, Nawy resembles real estate marketplace platforms in the UAE like Property Finder and Bayut, or the US-based Zillow. However, Nawy is much more than that: Nawy is an Egyptian-based proptech company that enables not just property-search, but also provides financing options, in-house real estate agents, and Nawy (fractional real estate) shares. Nawy is not a digitalized classifieds section for properties, instead, it aims to be Egypt's one-stop-for-everything-real-estate.

How is Nawy unique?

Diversified revenue streams — this is the uniqueness Nawy brings to the table. Traditional website-property platforms cap out at just two revenue streams:

1. Ad revenue
2. Property listing fees

Nawy brings a new flavor to this industry by expanding into the following revenue streams:

3. Brokerage commissions
4. Embedded financing solutions (mortgage, Move Now, Pay Later[1] — similar to BNPL)
5. Investment products (Nawy shares[2])

This shifts Nawy from just a traffic marketplace to a capital allocator, hence increasing:

- Revenue per user (From diversified service offerings that users likely use in a bundle; for instance, if a user is looking for a property, they can use Nawy's property agents to first find a property, then Nawy's flexible financing options, and finally experiment with Nawy shares if they don't feel comfortable with the huge payments for a complete real estate property. Through their diverse offerings, Nawy maximizes revenue from users who like to use it as a one-stop-for-everything-real-estate and also capitalize on users with lower capital through their fractional property Nawy shares.)
- Strategic importance in Egypt's real estate market
- Advisory complexity (a plus point for Arqaam capital)

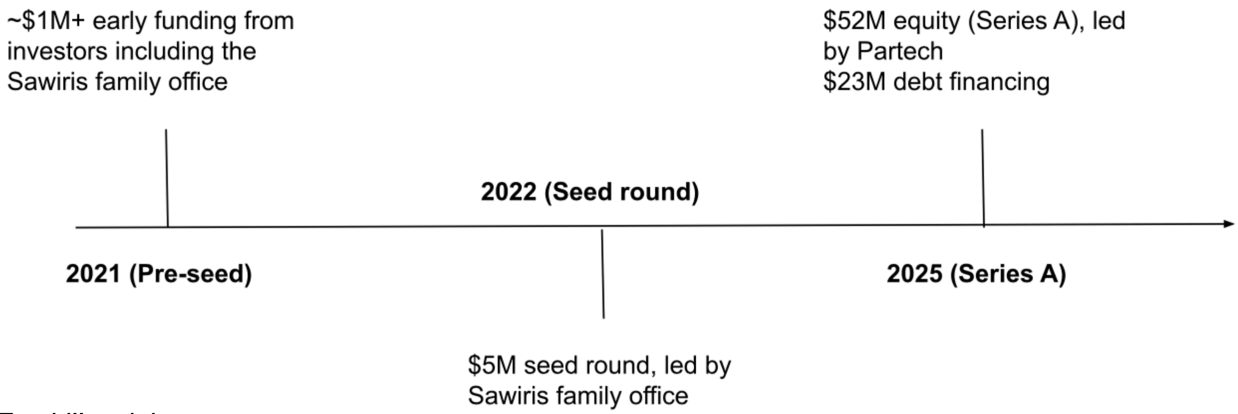
Key Statistic[3]

The Nawy team claims to have recorded over $1.4 billion in Gross Merchandise Value (GMV) in 2024 and grown its revenue 50x in USD terms over four years*, even as the Egyptian pound lost 69% of its value during that period. The platform now serves more than one million monthly users.

*While this is an impressive statistic, it must be noted that it is unverifiable as Nawy is a private company.

[1] https://www.nawy.com/nawy-now
[2] https://shares.nawy.com/
[3] https://www.menabytes.com/nawy-75-million/

Funding History[4]



Top killer risk:
Disintermediation risk. Users may discover properties on Nawy, but choose to transact offline or skip Nawy as the middleman and approach the property-builder directly. Nawy's model only works if it can convert user attention into controlled transactions on its platform. If Nawy cannot control the real estate transaction, and users bypass the platform after discovery, its economics collapse toward a low-margin listings business, undermining its ability to monetize brokerage, financing, and investment products. This would leave Nawy in a position worse than websites like Bayut, Property Finder, and Zillow, because Nawy has a higher cost-structure, but would have to sustain itself on only the ads and listing fee revenues.

My take: Engage Nawy as a client!
Nawy is not yet a fully realized financial platform because it does not currently control capital, underwrite risk, or generate meaningful asset-based revenue. Its financing and investment offerings remain partner-dependent and early-stage, with limited evidence of institutional-scale structuring. Today, the business is still primarily transaction-driven rather than balance-sheet-driven.This is where Arqaam capital can come in and create disproportionate value.

2. Nawy's Business Model

Nawy is not just making property-search easier, it is attempting to"

1. Aggregate supply (developers + resale)
2. Control demand flow (platform + in-house brokers)
3. Increase transaction conversion (via financing)
4. Expand participation (via fractional ownership)

Each layer increases:

- Take rate
- Control over the transaction
- Data advantage

[4] https://www.menabytes.com/nawy-75-million/

3. Market sanity check

Step 1: Defining the relevant market
Residential real estate annual transaction volume in Egypt

Step 2: Estimating transaction volume

- Egypt's population = 120 million[5]
- According to a study[6], 54% of the population cannot afford properties produced by the private sector. And, even though Egypt has one of the highest ownership rates worldwide, with 67% of families owning their homes[7], many of these units were acquired under older, cheaper housing regulations or inherited[8]; so we will have to account for the non-transaction of these homes.
- I will also assume that a proportion of the population not participating in the real estate market will participate in the Nawy share market instead.
- To be conservative, I will assume that 40% of the population actively participates in the real estate market (48 million).
- Assuming 0.5% of housing stock transacts annually (because people don't buy houses every year, we need to account for that factor), we bring down the number to 240,000.
- Median house prices sit at $116,000[9].
- To get annual transaction volume, $116,000 x 240,000 = $27,840,000,000 ($27.84B). Hence TAM by annual transaction volume in residential real estate is $27.84B,
- And the 2026 TAM for Egypt's residential sector is $1.26 trillion and is projected to reach $1.526 by 2030[10].

Step 3: Defining monetizeable layers

Layer	Monetization
Transaction	1.5–3% commission
Financing	1–2% equivalent
Investment	AUM / structuring fees

[5] https://worldpopulationreview.com/countries/egypt
[6] https://businessmonthlyeg.com/building-more-affording-less-egypts-housing-paradox/#:~:text=The%20Central%20Bank%20(CBE)%20noted,Unaffordable%20market
[7] https://www.dailynewsegypt.com/2019/12/10/egypts-housing-ownership-sets-world-record-high-as-67-of-population-own-apartments/
[8] https://aps.aucegypt.edu/en/articles/1456/background-paper-priced-out-of-living-the-dilemma-of-housing-affordability-in-egypt
[9] https://sandsofwealth.com/blogs/news/egypt-housing-prices
[10] https://www.statista.com/outlook/fmo/real-estate/egypt#value

Step 4: Estimating revenue pool

- $27.84B × ~2% = $556.8M (brokerage layer alone)
- Add financing + investment → ~$600M–$1B+

Step 6: Interpreting the result

While Egypt's real estate market exceeds $1T in total value, the actionable opportunity lies in the ~$28B of annual transactions. This highlights that Nawy's success depends on capturing transaction flow rather than benefiting from the underlying asset base. Even conservatively, this supports a ~$600M–$1B+ revenue pool across brokerage, financing, and investment layers — large enough to justify venture-scale outcomes if execution holds.

Cautionary note about TAM estimate:

- The percentage of housing stock transacting annually is the most sensitive number in my TAM estimates. The difference between a few percentage points creates the difference between millions, billions, and trillions, in annual transaction volume estimates.
- Housing prices are volatile. This number can also easily change my TAM estimates.

4. Risks

1. Disintermediation risk

If users discover properties on Nawy but transact offline, the company loses its ability to capture commissions and monetize the transaction.

2. Brokerage scalability

Nawy's reliance on in-house agents creates operational complexity, making it difficult to scale without compromising service quality.

3. Financing dependency

Limited mortgage penetration in Egypt may constrain transaction conversion, reducing the effectiveness of Nawy's integrated model.

4. Currency depreciation

A double-edged sword. While it supports domestic demand for real estate as a hedge, it limits Nawy's ability to scale into a financial platform that attracts foreign capital.

5. Regulatory overhang

Unclear regulations around fractional ownership could delay or restrict Nawy's expansion into high-upside investment products.

5. **Recommendation: YES — Engage as an Advisory Client**

Nawy should be viewed not simply as a proptech company, but as an emerging financial platform operating in a structurally inefficient real estate market. While its current business remains transaction-driven, its trajectory toward financing, fractional ownership, and capital intermediation introduces complexity that aligns directly with Arqaam Capital's strengths.

Critically, Nawy is at an inflection point: it has demonstrated product-market fit in aggregating demand and supply, but has not yet fully built the financial infrastructure required to scale its higher-margin revenue streams. Its financing products remain partner-dependent, its investment offerings are early-stage, and it does not yet operate with institutional-grade capital structuring or balance sheet control.

This gap is precisely where Arqaam can create disproportionate value.

Arqaam Capital is well-positioned to support Nawy in:

- Structuring scalable financing vehicles (e.g., mortgage-backed products, developer financing programs)
- Institutionalizing its fractional ownership model into a credible investment product
- Attracting regional and international capital despite macro and currency constraints
- Transitioning from a transaction platform to a capital markets participant

From a risk perspective, Nawy's biggest vulnerability — disintermediation — reinforces the need to deepen its role in the transaction through financing and investment products. This further strengthens the case for advisory involvement, as success depends not just on execution, but on financial sophistication and structuring capability.

I believe Arqaam should actively pursue an advisory relationship with Nawy. The company operates in a sufficiently large and monetizable market, has clear differentiation through its integrated model, and is entering a phase where financial structuring, and not just product execution, will determine outcomes. This creates a high-leverage opportunity for Arqaam to embed itself early in a platform that could evolve into a key real estate financial intermediary in Egypt and, potentially, across MENA.